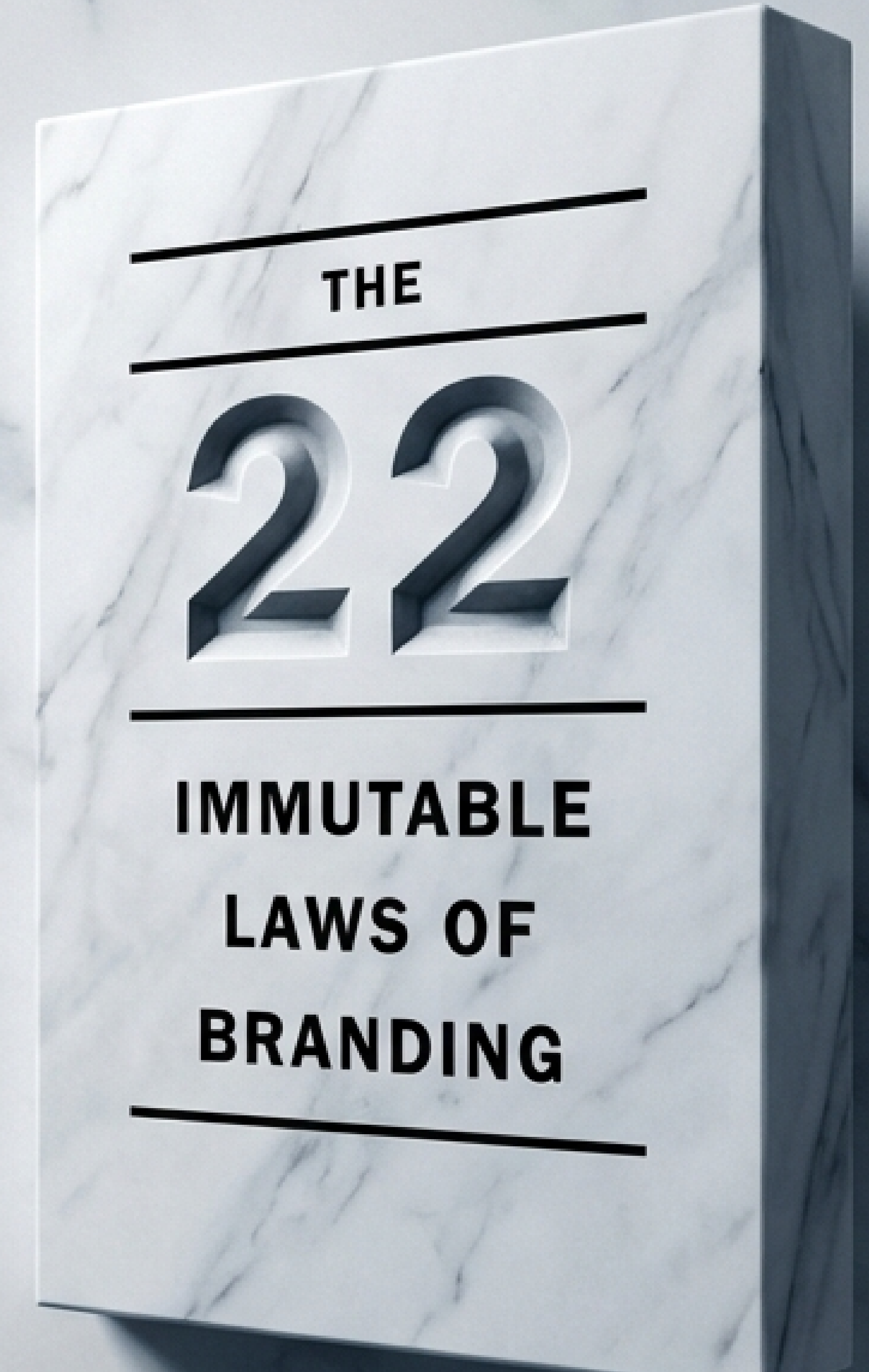
THE 22 IMMUTABLE LAWS OF BRANDING

How to Build a Product or Service into a World-Class Brand

Based on the business classic by Al Ries and Laura Ries



SELLING

BRANDING

Selling is the Titanic.
Branding is the Iceberg.

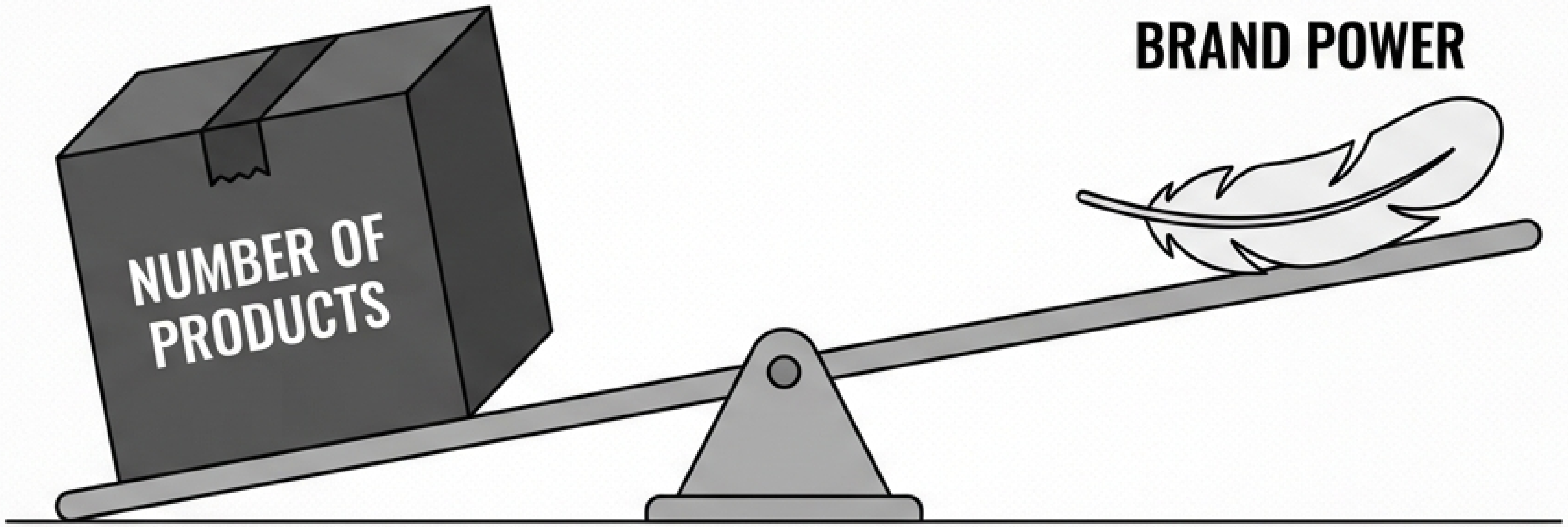
Marketing is not selling. Selling is a function that is slowly sinking. Branding is ‘pre-selling’ the product or service to the user. A brand is a proper noun in the mind.

THE OBJECTIVE IS SINGULARITY.

- **The goal:** Create the perception that there is no product on the market quite like yours.
- **The Paradox:** Forces that increase market share (broadening appeal) undermine brand power.
- Can a successful brand appeal to everybody? No.

"A brand is a brand is a brand."

THE FOUNDATION (LAW 1): THE LAW OF EXPANSION



CHEVROLET (Violation)	FORD (Observed)
Markets 10 separate car models. **Result:** Weak identity. “A Chevy is a large, small, cheap, expensive car... or truck.”	Markets fewer models. **Result:** Stronger brand leadership.

Rule: The power of a brand is inversely proportional to its scope.

THE FOUNDATION (LAW 2): THE LAW OF CONTRACTION

Good things happen when you narrow the focus.

Narrowed focus from food & coffee to **JUST COFFEE**.

Result: **Multi-billion dollar valuation.**

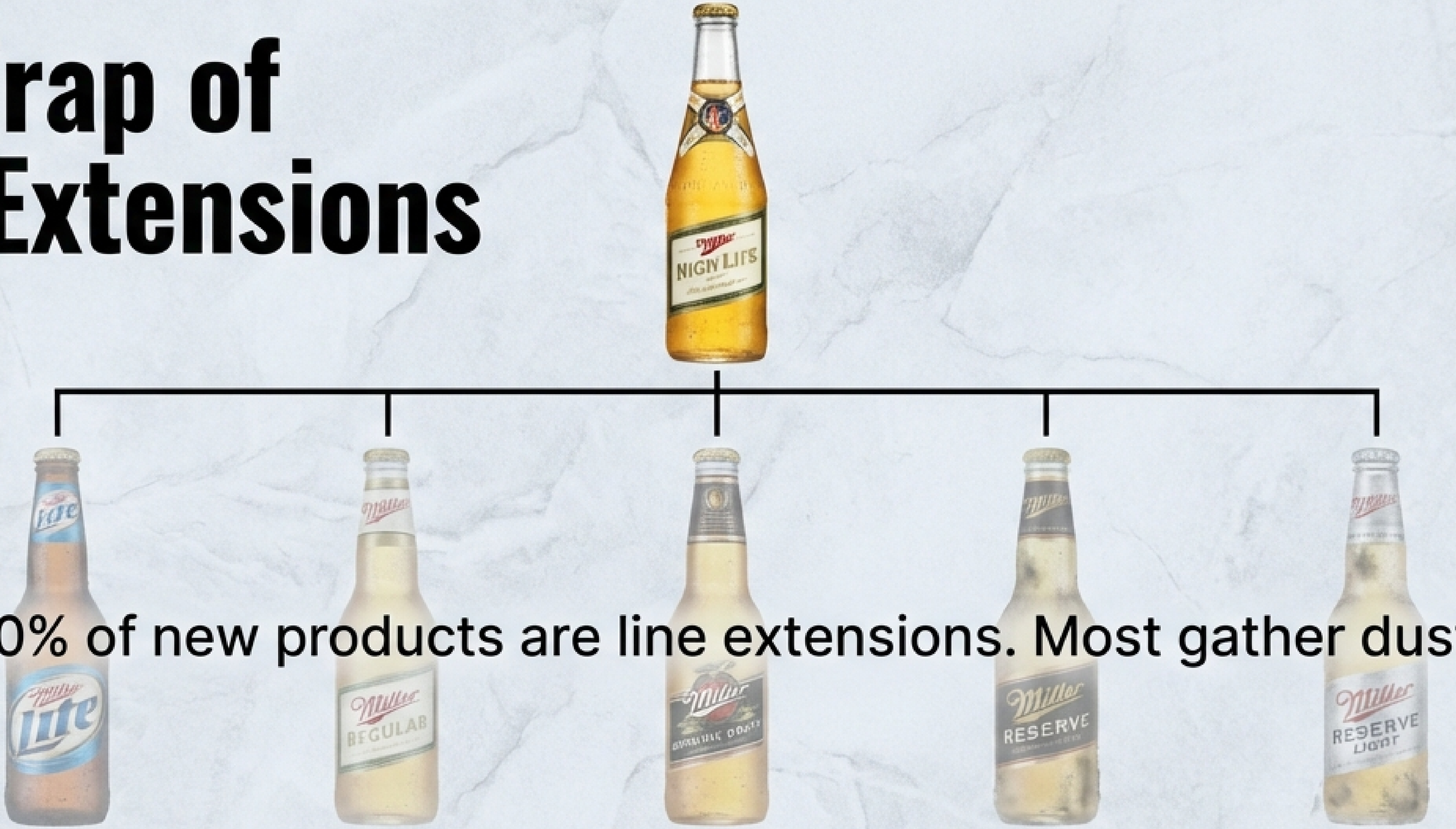
Narrowed focus from deli to **JUST SUBS**.

Result: **15,000+ units.**

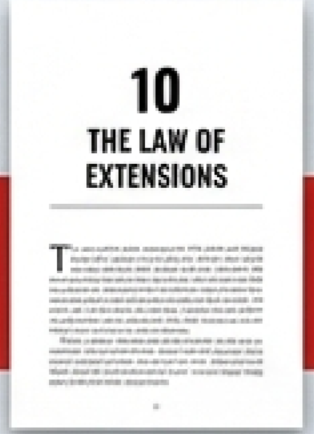
To dominate a category, you must contract your brand, not expand it.

THE FOUNDATION (LAW 10): **THE LAW OF EXTENSIONS**

The Trap of Line Extensions



90% of new products are line extensions. Most gather dust.



The easiest way to destroy a brand is to put its name on everything.

THE FOUNDATION (LAW 12): THE LAW OF THE GENERIC

Generic Names Die in Crowded Markets.

General Video Rental → BLOCKBUSTER VIDEO

The Luxury Car Company → LEXUS

Intelligent Chip Company → intel

In a vacuum, generic names work. In a crowded market, they fail.
A brand needs a proper noun, not a description.

CONSTRUCTION (LAW 5): THE LAW OF THE WORD

Own a Single Word in the Mind.

Constraint: You cannot own a word someone else already owns. You must narrow the focus to find an available word.

CONSTRUCTION (LAW 8): THE LAW OF THE CATEGORY

Promote the Category, Not the Brand.

Case Study: EatZi's.
Strategy: If you can't be first in a category, set up a new category you can be first in.
Execution: EatZi's didn't promote a brand; they promoted the 'Meal-Market'—restaurant-quality takeout.

"Customers don't care about new brands. They care about new categories."

AUDIT: Are you promoting the category or just yourself?

CONSTRUCTION (LAW 9): THE LAW OF THE NAME

A Brand is Nothing More Than a Name.

Then

Unique Product Benefit
(Plain Paper Copier).

Now

Product difference vanished.
Only the XEROX name remains.

**In the long run, product innovation dies.
Only the name difference remains.**

CONSTRUCTION (LAW 3): BRANDS ARE BORN, NOT MADE

The Law of Publicity.

Brands are born via publicity, not advertising. The best way to generate news is to be FIRST in a new category.

Advertising is the Price of Leadership.

Once born, a brand needs advertising to stay healthy.

It is a defense budget. It protects market share from competitors.

Leaders should not view ad budgets as investments for ROI, but as insurance against losses.

ARCHITECTURE (LAW 11): THE LAW OF FELLOWSHIP

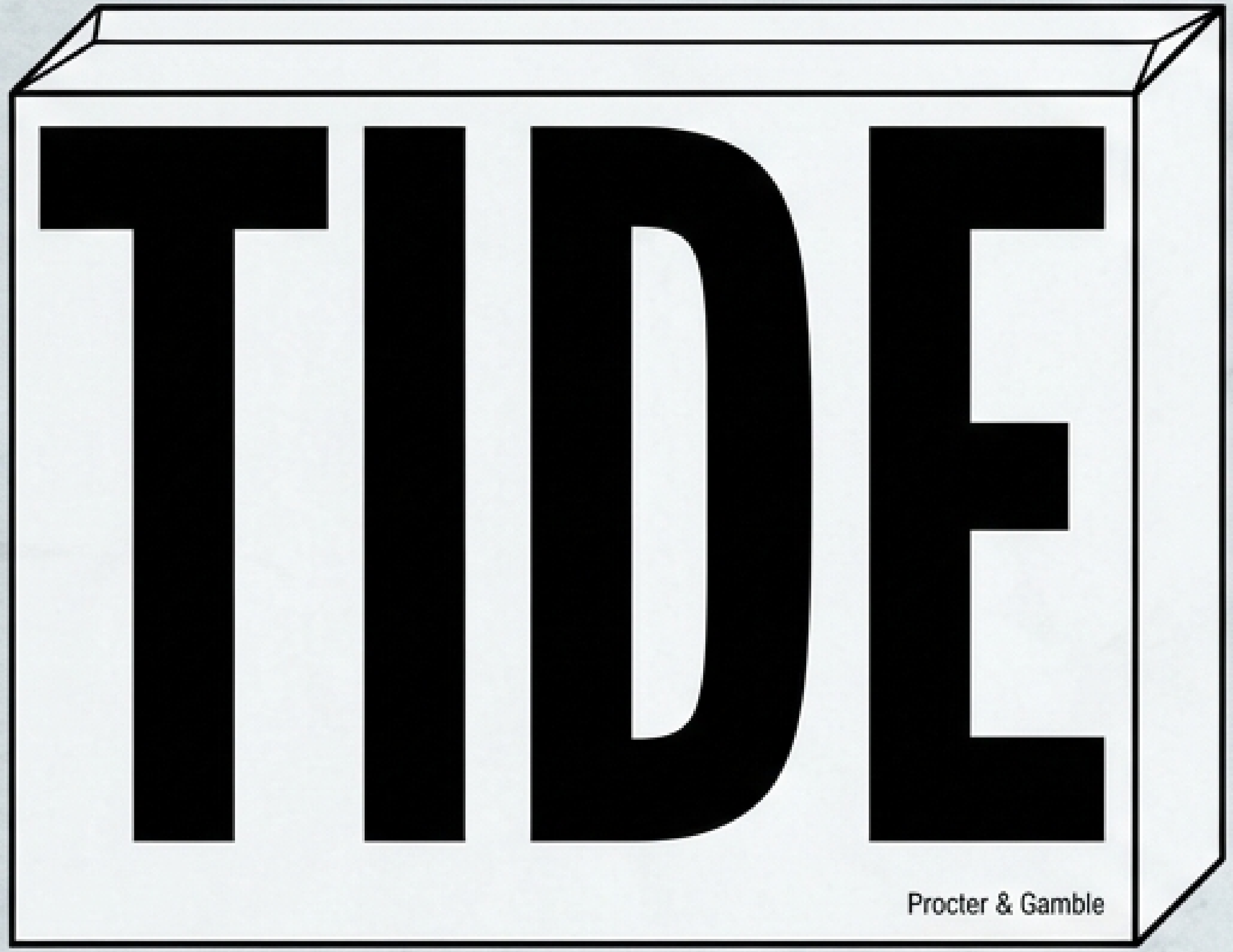
Welcome Competition

Counter-Intuitive Truth: Choice stimulates the category.

- Coke needs Pepsi to make customers “Cola-Conscious.”
- Burger King locates near McDonald’s to create a “Fast Food Destination.”

Takeaway: A monopoly often sees the category shrink. Fellowship grows the pie.

Brands are Brands. Companies are Companies.



The brand name must dominate. Customers buy “Tide,” not “Procter & Gamble.” Customers buy “Lexus,” not “Toyota.”

Rule: The company name should be secondary or invisible.

What Branding Builds, Subbranding Can Destroy.

The Mistake: Subbranding.

Confusion. Holiday Inn = Budget. Crowne Plaza = Upscale. Combining them destroys the meaning.

The Solution: Siblings.

Separate identities for separate categories. No “Wrigley’s Cinnamon Gum.” They stand alone.

PERCEPTION (LAWS 6 & 7): THE ILLUSION OF QUALITY

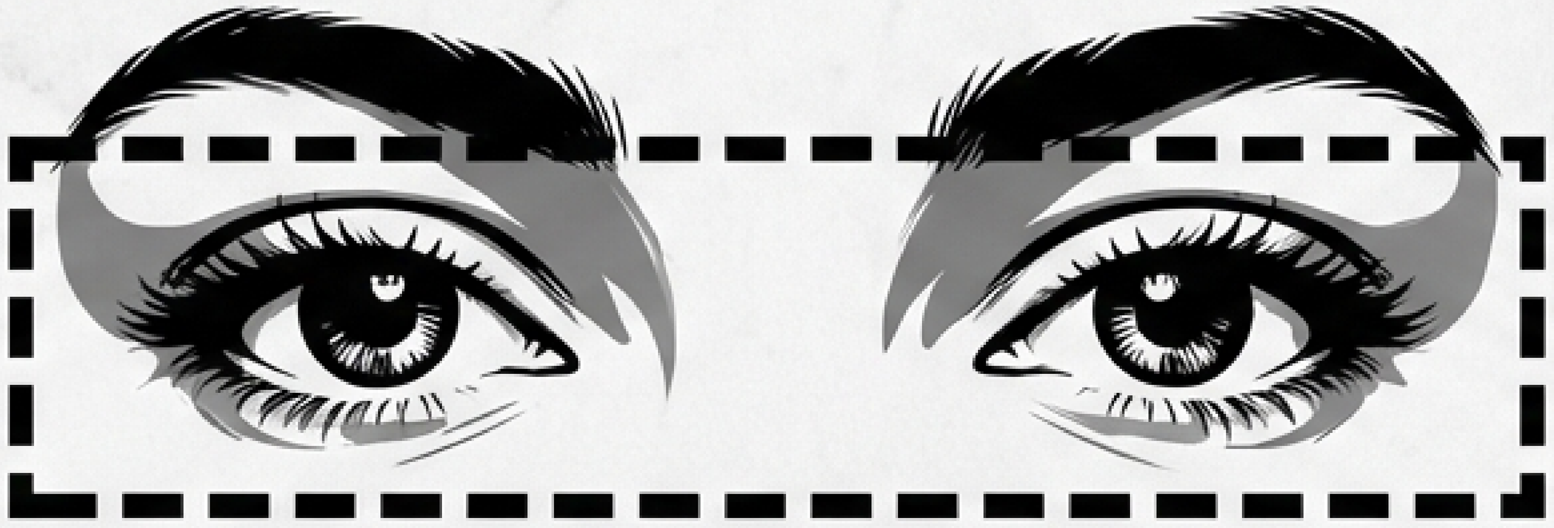
Quality is in the Mind, Not the Product.

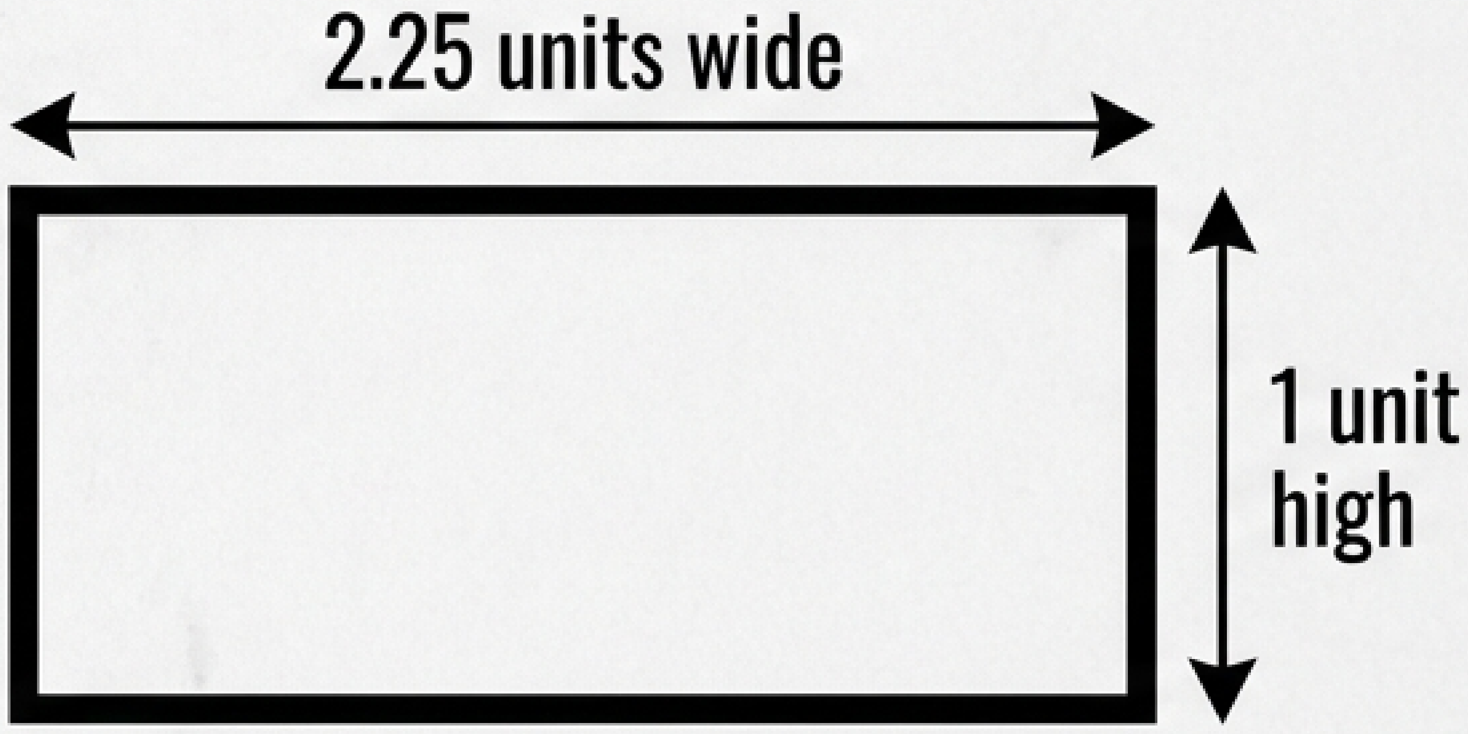
Law of Credentials: Authenticity is the anchor. “The Real Thing” (Coke). Leadership is the best credential.
Law of Quality: High price creates the perception of high quality.

Insight: You cannot build a brand on quality alone. You build it on the perception of quality via price and leadership.

PERCEPTION (LAW 16): THE LAW OF SHAPE

Design for the Eyes.





The ideal logo shape is horizontal. It fits the eyes.

Fail Example: Vertical logos (like the Arby's hat) lose impact in the visual jungle.

Typography Rule: Legibility is the most important consideration.

PERCEPTION (LAW 17): THE LAW OF COLOR
Be the Opposite.

Use a color opposite to your major competitor.

Psychology: Red = Energy/Retail. Blue = Stability/Corporate.

CONCLUSION: THE GLOBAL CONTEXT
Go Global, But Stay Narrow.

To go global, keep the focus narrow in the home country.
Leverage the ‘Country of Origin’ perception.

THE BRAND AUDIT
Test Your Strategy.

- ☐ **CONTRACTION:** Are you trying to be everything to everyone?
- ☐ **THE WORD:** Do you own a single word in the prospect's mind?
- ☐ **NAMING:** Is your name specific (Blockbuster) or generic (General Video)?
- ☐ **EXTENSIONS:** Are you diluting your power by putting your name on new products?
- ☐ **CATEGORY:** Are you promoting the category or just your brand?
- ☐ **VISUALS:** Is your logo horizontal? Is your color opposite your competitor's?

VIOLATE THE LAWS AT YOUR OWN RISK.

The laws of gravity don't care if you believe in them. Neither do the laws of branding.
You can build a brand, or you can milk a brand.
But you cannot do both.